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No. 99-1953

IN THE SUPREME COURT OF THE UNITED STATES

DISTRICT OF COLUMBIA, *ET AL.*,
Petitioners,
v.
TRI COUNTY INDUSTRIES, INC.,
Respondent.

On Writ of Certiorari
to the United States Court of Appeals
for the District of Columbia Circuit

REPLY BRIEF

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REPLY BRIEF

ARGUMENT

I. THE FRAMERS OF THE SEVENTH AMENDMENT CONTEMPLATED THAT FEDERAL COURTS, WHEN EXERCISING ORIGINAL JURISDICTION, WOULD REEXAMINE FACTS ACCORDING TO THE COMMON LAW.

Tri County pays scant attention to the historical foundation of the Seventh Amendment. As a consequence, its constitutional argument rests on the assumption that the Seventh Amendment is jeopardized whenever a district court judge grants a new jury trial. Citing only *Lind v. Schenley Indus., Inc.*, 278 F.2d 79 (3d Cir.), *cert. denied*, 364 U.S. 835 (1960), Tri County asserts that its position is based on "[s]ettled legal principles . . .." Brief for Respondent ("TCI Brief") 28. However, its position is contradicted by this Court's decisions resting on history (see D.C. Brief 35-39), and, given the language of the Seventh Amendment, history is vitally important.[1]

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[1]In addition, Tri County also relies heavily on *Dimick v. Schiedt*, 293 U.S. 474 (1935), and *Parsons v. Bedford*, 28 U.S. (3 Pet.) 433 (1830). See TCI Brief 25, 26 & 27. However, neither case supplies the slightest support for its position.

Dimick holds that a federal district court may not, consistently with the Seventh Amendment, award an additur to a plaintiff, with only the

(continued...)

A. The Common Law in Eighteenth Century England.

Tri County, citing Blackstone, urges that history "indicates that a second trial was not always available at the discretion of the court." Brief 28. We have not argued otherwise. What is important here, however, is not the truism Tri County sets forth, but ascertainment of the circumstances in which new trials were available under the English common law and the understanding of the framers of the Seventh Amendment with respect to that matter.

In his renowned commentaries, Blackstone made several matters abundantly clear. First, the grant of a new trial in civil cases tried to a jury at the recommendation of the presiding judge, the *nisi prius* judge, was part and parcel of the right to a jury trial. III William Blackstone, COMMENTARIES ON THE LAW OF ENGLAND 391 (1768) (A FACSIMILE OF THE FIRST EDITION OF 1765-1769) (Univ. of Chicago Press) (1979)). This power was necessary to ensure the integrity of, and respect for, the jury system itself.[2] Second, history

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[1](...continued)
defendant's consent, without offering plaintiff a new trial. This holding is consistent with the Court's more recent jurisprudence. *See Hetzel v. Prince William County*, 523 U.S. 208 (1998) (federal court may not order remittitur without offering new trial as option). *Dimick* has also been understood as barring additur (*see, e.g., Gasperini v. Center for Humanities, Inc.*, 518 U.S. 415, 433 (1996)), but this understanding is not relevant here. *Parsons*, in turn, which came to this Court on a writ of error to the eastern district of Louisiana, holds that a federal appellate court may not reexamine facts; the Seventh Amendment leaves this task to the district court; and "if there be any mistake of the facts, the court below is competent to address it, by granting a new trial." 28 U.S. at 449.

[2]Sir Matthew Hale, Chief Justice of the King's Bench in the Seventeenth Century, advanced a similar view in his posthumously published 1715 history of the common law. See J.G.A. Pocock, THE ANCIENT (continued...)

demonstrates that the recommendation of the presiding judge was of considerable importance.[3] Third, there developed under the common law a *practice* of granting new trials for *a variety of reasons*. As Blackstone reported, the *en banc* trial court would award a new trial "if it appears by the judge's report, certified to the court, that the jury have brought in a verdict without or contrary to evidence, so that he is reasonably dissatisfied therewith; or if they have given exorbitant damages; or if the judge himself has mis-directed the jury, so that they found an unjustifiable verdict: for these, and other reasons of the like kind, it is the **practice** of the court to

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[2](...continued)
CONSTITUTION AND THE FEUDAL LAW: A STUDY OF ENGLISH HISTORICAL THOUGHT IN THE SEVENTEENTH CENTURY 170 (Cambridge University Press 1957). Hale reported that in then-recent years, the courts of law "to forward the ends of justice, [have] become accustomed, on motion, to grant NEW TRIALS, where the jury, or the judge, have been mistaken or misled." 2 Hale, AN ANALYSIS OF THE CIVIL PART OF THE LAW 155 (5th ed. 1993 reprint) (emphasis in original).

[3]The apparent cohesiveness of the *en banc* Westminster courts of law is explained by Hale. Hale reported that the *nisi prius* judges attended the same schools, developed the same values, and discussed their decisions extensively among themselves, a process which meant that "their judgments, and their administrations of common justice, carry a CONSONANCY, CONGRUITY, AND UNIFORMITY, ONE TO ANOTHER: whereby both the laws and the administrations thereof are preserved from that confusion and disparity that would [otherwise] unavoidably ensue . . .." 2 Hale, *supra* at 140 (emphasis in original).

As Justice Scalia's observed in *Gasperini*, 518 U.S. at 456-57, counsel for the Center for Humanities (Theodore B. Olson) was unable to cite a single case in which the full court ordered a new trial without a recommendation of the *nisi prius* judge. See also Transcript of Oral Argument in *Gasperini*, 1996 U.S. Trans. Lexis 24, *30 (April 16, 1996).

award a *new*, or second, *trial*." *Id.* at 387 (bold added; italics in original).[4]

B. The First Congress.

Tri County ignores our argument (D.C. Brief 34-35) that the first Congress, which not only enacted the Judiciary Act of 1789, Act of September 24, 1789, 1 Stat. 73, but also approved the Seventh Amendment, was well aware of the basic English framework governing civil actions at law.[5] This framework would have included the role of the common law courts *nisi prius* and their obligation to recommend new trials when the verdict was against the weight of the evidence, when damages were excessive, or when the presiding judge had erred. It is equally clear that the first Congress rejected in some respects the English model, and, in effect, determined "whether particular features of the 18th century common-law jury [were] essential, or merely incidental, to the central

[4]Hale, in turn, reported that, in trials *nisi prius*, "if any surprise happened, either through much business of the court, or through inadvertency of the attorney, or counsel; or through any miscarriage of the jury; or through any other casualty; the party may have his redress . . .." 2 Hale, *supra* at 155. Both Hale and Blackstone thus make clear that a *nisi prius* judge would be justified in recommending a new trial if, for example, he believed that he had misdirected or misguided the jury, a ground that, in our view, would include a decision that he should have permitted the jury to consider evidence he excluded at trial. See also D.C. Brief 31-32. Compare TCI Brief 21 n.13.

[5]As the late Justice Blackmun once wrote, "no citation is needed to establish the impact of Hale and Blackstone on colonial legal thought." *Gannett Co., Inc. v. DePasquale*, 443 U.S. 368, 424 (1979) (concurring in part and dissenting in part).

purpose of the jury trial requirement." *Ludwig v. Massachusetts*, 427 U.S. 618, 625 (1976).[6]

The first Congress did not establish a judicial structure in which the district court sat *en banc* to review collectively recommendations of its members to grant a new trial. Instead, the first Congress established thirteen judicial districts in the United States and "a District Court" in each of them "to consist of one judge, who shall reside in the district for which he is appointed . . .." § 3, 1 Stat. 73; see also § 2, 1 Stat. 73 (designating the districts). Congress also established three circuit courts, having both original and appellate jurisdiction. § 4, 1 Stat. 74. Each circuit court was composed of two Supreme Court justices and a district judge. § 4, 1 Stat. 74-75. A district judge was barred from voting in any appeal from his own decision "but may assign the reasons of such [sic] his decision." § 4, 1 Stat. 75. The Supreme Court also had both original and appellate jurisdiction. § 1, 1 Stat. 73.

The first Congress also addressed the powers of these courts. The Act provided "[t]hat *all the said courts* of the United States shall have power to grant new trials, in cases where there has been a trial by jury for reasons for which new trials have usually been granted in the courts of law . . .." § 17, 1 Stat. 83 (emphasis added). Insofar as appellate review is concerned, the Act provided that "there shall be no reversal in either court [, the Circuit or the Supreme Court,] . . . for any error in fact." § 22, 1 Stat. 84-85. Congress rather conspicuously placed no comparable constraints on the federal courts when exercising their original jurisdiction.

[6]This Court continues to perform this role today. *See, e.g., Gasperini*, 518 U.S. at 436 n.20 (describing permissible departures from English common law civil jury practices).

The conclusion that the Seventh Amendment permits district courts (and superior courts exercising original jurisdiction) to exercise substantial discretion to order new trials in cases tried before juries is reinforced by another consideration. The first Congress was well aware that successive jury trials in the same case were not uncommon on this side of the Atlantic. In Federalist No. 81, Alexander Hamilton wrote that in the New England states, as well as in Georgia, "an appeal from one jury to another is familiar both in language and practice, and is *even a matter of course*, until there have been two verdicts on one side." See Jacob E. Cooke, THE FEDERALIST 550 (Wesleyan University Press 1961) (emphasis added). See also Federalist No. 83, *id.* at 565-66 (describing, *inter alia*, the provision for jury trials in each of the states).[7]

In short, the first Congress plainly contemplated that federal courts exercising original jurisdiction would grant new trials for the reasons new trials were granted under the common law. Just as plainly, this Congress was not disposed to permit appellate courts to reexamine factual matters. The conclusion follows, therefore, that the first Congress did not understand the contemporaneous Seventh Amendment as restricting the power of courts, when acting in a trial capacity, to reexamine facts in jury trials. Instead, as elsewhere in the Constitution, the framers of the Seventh Amendment constructed a wise system of checks and balances. They imposed an important check on the factfinding function of the jury by authorizing, in accordance with the common law, trial court judges to order new trials whenever they were reasonably dissatisfied with an initial jury verdict. This balance was

[7]It is apparent that in New England and Georgia, the people did not regard the first jury in any civil matter as sacrosanct. And Tri County has produced no evidence that the people in any other jurisdiction held a contrary view.

necessary to ensure the integrity of jury verdicts and respect for the jury system itself.[8]

II. DESPITE TRI COUNTY'S PROFESSED CONFUSION OVER THE STANDARD USED BY THE D.C. CIRCUIT, ITS BRIEF MAKES CLEAR THAT THE COURT CONDUCTED A *DE NOVO* -- AND THUS IMPERMISSIBLE -- REVIEW OF THE NEW TRIAL ORDER.

As the foregoing demonstrates, the founders did not regard the Seventh Amendment as a bar to trial judges granting new jury trials. Indeed, the Seventh Amendment appears not to be implicated by such orders.[9] In these circumstances, the D.C. Circuit's "more searching inquiry" standard of review is misplaced.

The D.C. Circuit's standard does not afford sufficient deference to the district court's unique opportunity to evaluate first-hand the witnesses and other evidence in the context of an ongoing trial. The reasons given by Blackstone and Hale

[8]"The Judiciary Act, largely crafted by Oliver Ellsworth in the Senate, . . . has been called probably the most important and the most satisfactory Act ever passed by Congress." Currie, *The Constitution in Congress: The First Congress and the Structure of Government, 1789-91*, 2 U. Chi. L. Sch. Roundtable 161, 208 (1995) (internal quotation marks omitted).

[9]A new jury trial is a curative even in the criminal context where, unlike the civil context, the double jeopardy clause of the Fifth Amendment also provides protection. In *Ludwig v. Massachusetts*, *supra*, for example, this Court upheld a two-tiered state jury trial system in which a criminal defendant, entitled to a jury trial, could first be required to be tried in a court where no jury trial was available, before gaining a jury trial *de novo*. *See also Colten v. Kentucky*, 407 U.S. 104 (1972) (upholding two-tiered criminal justice system in which a defendant could avoid a first trial without a jury by pleading guilty and then seek a jury trial *de novo*).

for a new trial are precisely the reasons Judge Robertson gave in this case for his order granting a new trial.

In support of the decision of the D.C. Circuit, Tri County cites Chief Judge Posner and urges that the D.C. Circuit found that each basis for the district court's order "constituted error *as a matter of law*." TCI Brief 30 (emphasis in original). This is because, according to Tri County, all of the district court's rulings were "legal errors." *Id.* at 31. See also *id.* at 37 n.22 (omitting from its quotation of *Gasperini* the directive that appellate courts must give the benefit of every doubt to the judgment of the trial judge).

Tri County, however, (Brief 29-40), as well as its *amicus*,[10] confuse the standard for directing a verdict with the standard for granting a new trial. Furthermore, they simply fail to recognize that the district court here ruled that the jury verdict was contrary to the great weight of the evidence.

One classic formulation of the distinction between the two standards is Judge John J. Parker's decision in *Garrison v. United States*, 62 F.2d 41, 42 (4th Cir. 1932):

> Where there is substantial evidence in support of plaintiff's case, the judge may not direct a verdict against him, even though he may not believe his evidence or may think that the weight of the evidence is on the other side . . .. He may, however, set aside a verdict supported by substantial evidence where in his opinion it is contrary to the clear weight of the evidence, or is based upon evidence which is false . . ..

[10]Amicus Curiae Brief of the Association of Trial Lawyers of America in Support of the Respondent ("ATLA Brief") 18-20.

Given this distinction, a new trial order should not be overturned unless the district court abused its discretion in the true sense of that concept: "where no reasonable person could take the view adopted by the trial court." *McClain v. Owens-Corning Fiberglas Corp.*, 139 F.3d 1124, 1126 (7th Cir. 1998) (internal quotation marks omitted). An appellate court does not sit, as Tri County suggests (Brief 24), to referee disputes between juries and trial judges. It should not reexamine the facts *de novo*, and it should not reweigh the evidence. Instead, to avoid running afoul of the Seventh Amendment, an appellate court should reverse only when the district court has made a clear legal error. An appellate court should bear in mind, moreover, that federal district court judges, burdened by crowded dockets, have no incentive to grant new trials and are very unlikely to conclude that they have unduly tipped the scales in favor of one party unless, upon careful examination of the entire record in the case, they are convinced that they have done so.

Here, the district court did not, pursuant to Fed. R. Civ. P. 50(a), enter judgment as a matter of law in favor of the District in any respect. Instead, it merely granted a new jury trial because the evidence demonstrated that the jury's verdict was grossly excessive in light of the evidence the jury considered and because it concluded that it should have permitted the jury to consider additional evidence proffered by the District. In other words, the district court made factual or evidentiary judgments, and the D.C. Circuit should not have overturned those judgments unless no reasonable judge could have taken those views. That is not the case here. To the contrary, when the proper standard is applied, it is plain that the district court did not abuse its discretion and that its new trial order should be sustained on several independent grounds.

First, insofar as lost future profits are concerned, a reasonable judge easily could take the position that the evi-

dence of real market conditions provided by Tri County's own industry expert, Vincent DiRenzo, proved that the market for thermal soil remediation was not particularly profitable. At the time of trial, in 1998, there were no longer any thermal remediation facilities in Virginia; the "disposal facilities that exist[ed were] much less" than in 1994 when he had gathered the data for his report; and a recent entrant in Baltimore was compelled by market forces to charge prices below its operating costs in order to gain market share and quickly went out of business. J.A. 61; see also 60 & 63-64.[11]

There was also a telling disparity between what DiRenzo testified what Tri County could have *charged* at the gate -- $40 per ton of soil -- and Tri County's practice of *paying* some $17.50 per ton at the gate. See L.1-L.7. This unexplained disparity would have eliminated $3,227,500 of revenues in 1994 alone. See J.A. 140. Concomitantly, Tri County's financial expert, Joel M. Morse, included in his spreadsheet DiRenzo's revenue estimates, but simply ignored DiRenzo's finding that revenues were barely covering operating costs. (The transcript does not, of course, reveal Morse's demeanor during his testimony.)[12]

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[11]As early as March, 1995, "soil prices ha[d] dropped to the lowest point to allow for the facilities to cover operating costs." J.A. 137.

[12]Tri County does not address these disparities in its brief. Instead, it asserts that Morse did not omit any costs in his spreadsheet. TCI Brief 35. However, Morse included in costs only one item not associated with the remediation process itself. J.A. 141. That was item 14, "Trucking to facility," in which he listed $82,500 for trucking 82,500 tons of contaminated soil to the facility. J.A. 141. However, Tri County concededly was incurring pre-remediation costs of at least $17.50 per ton for soil. See TCI Brief 10-11 n.9. Furthermore, there were other problems with the costs Tri County supplied to Morse. For example, the utility costs calculated by Donald G. Carter measured energy consumption only for the machine itself

(continued...)

In these circumstances, a reasonable judge could readily dismiss as incredible Morse's projections that Tri County's profits would exceed its costs by more than 150% (*e.g.*, costs of $1,335,908 and pre-tax profits of $2,031,592 in 1994). J.A. 139.

A similar analysis also requires the conclusion that no appellate court could rule that Judge Robertson failed to act as a reasonable judge in ruling that Tri County unreasonably failed to mitigate its damages arising from not being afforded a hearing prior to the temporary suspension of its building permit. Tri County did not invoke *any* administrative process afforded by District law to overturn the decision. Indeed, Tri County did not even respond to Hampton Cross's invitation to be heard. Instead, now as then, Tri County takes the position that Cross's invitation violated local law and thus that it had no obligation to respond. TCI Brief 40 n.24. Tri County cannot have it both ways. It cannot complain about lack of constitutional process and simultaneously spurn an invitation to be heard on the ground that the invitation somehow violated local law.[13] Tri County failed to take even modest steps to

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[12](...continued)
and did not include utility costs for the 53,000 square foot warehouse (TCI Brief 2). J.A. 58-59; L. 17. Nor evidently was Morse provided with any cost estimate for disposing of debris that could not be remediated or soil that could not be sold as clean soil. In 1994, this would have amounted to 37,500 tons of material. J.A. 140-41 (reflecting that in 1994 alone, Tri County would have had to dispose of 7,500 tons of debris and 30,000 tons of soil that could not be sold as clean soil).

[13]Indeed, the way for Tri County to determine whether local law authorized this inquiry was to challenge the suspension of its permit in local fora on local-law grounds. It is hornbook law that material misrepresentations in obtaining a permit are grounds for revoking it. 9A McQuillen, MUNICIPAL CORPORATIONS § 26.212.10 (3d ed. 1990).

seek review although it claimed at trial that the suspension cost it $11,600,000 in virtually certain future profits.

Here, to borrow from Chief Judge Posner, Judge Robertson used a sliding scale to assess mitigation in light of the facts. If it is, indeed, reasonably likely that a project will net some $11,600,000 over a several-year period, a reasonable person would expend considerably more than one-twentieth of this sum to secure the right to build it. On the other hand, as Judge Robertson explained, if the only monies at issue were the costs already incurred, a reasonable person should not be expected to spend more. J.A. 12. *Cf. Kirchoff v. Flynn*, 786 F.2d 320, 325 (7th Cir. 1986) ("Except in grudge litigation, no client, however wealthy, pays a lawyer more than a dollar to pursue a dollar's worth of recovery."). The D.C. Circuit overreached in second-guessing this fact-laden judgment.[14]

Third, Judge Robertson again acted as a reasonable trial judge in concluding that a new trial was warranted because he had allowed the jury to consider Tri County's speculative evidence of future profits, but not the District's health and safety evidence. Even DiRenzo had testified that a thermal remediation facility in Virginia recently had not been allowed to renew its permit. J.A. 63. The District had proffered Dr. Alfred Siess. He told the court that Pennsylvania had decided that thermal remediation facilities posed unacceptable health and safety risks; that stack tests can be rigged, by, for example, using soil that has been sitting around for a long time (a point that undermined Tri County's argument that, because its

[14]The reasonableness of the new trial order can be assessed in another way. Had Judge Robertson tried the case himself, made appropriate findings, and drawn the conclusion that Tri County's evidence of future profits was speculative and that it had failed to mitigate its damages given what it claimed was at stake, the D.C. Circuit could not properly have reversed this decision.

unlawful New York Avenue facility had passed a stack test, it necessarily would have passed a stack test on Bryant Street); and that thermal remediation facilities pose serious health and safety risks. J.A. 105-12. This evidence also included the health and safety concerns expressed by District officials, including those in Cross's October 15, 1993, invitation to be heard, and by nearby residents of the Bryant Street facility.

This evidence, and the proffered evidence, were relevant to the issues whether the Bryant Street facility would ever have been allowed to operate under District law and, if a certificate of occupancy had been issued, whether it would have been allowed to continue to operate. Given this, Judge Robertson did not act unreasonably by ruling ultimately that the jury should have been permitted to evaluate this evidence.[15]

The last point is bolstered by the district court's decision to strike Cross's invitation to Tri County to be heard on the grounds that this invitation addressed health and safety concerns. This evidence was independently significant to the mitigation of damages issue. The jury surely must have been confused and misled when instructed not to consider Cross's invitation, and Tri County's refusal to accept it, in this procedural due process case.[16]

[15]Tri County claims that it "could have obtained its certificate of occupancy without additional review of the safety of its proposed project," and that there is no evidence to the contrary. Brief 38. The exact opposite is true, as the D.C. Circuit recognized. Pet. App. 3 n.1. Even Mr. Selzer testified that, before Tri County could secure a certificate of occupancy, it would have to pass a stack test and demonstrate that its project met the conditions of its building permit. J.A. 45-46.

[16]Here, as below, we have addressed only three excessive damages theories because we discern only three in Judge Robertson's decision.

(continued...)

III. This Court Must Apply The Proper Standard To The Facts Of This Case.

Tri County urges that this Court should decline to decide whether the district court abused its discretion in ordering a new trial in this case and permit the D.C. Circuit to decide this point. We fundamentally disagree. As in many areas, the meaning of a legal standard is illuminated by its application to a particular set of facts. *See, e.g.*, *Anderson v. City of Bessemer City, N.C.*, 470 U.S. 564, 576-81 (1985) (determining whether district court's findings of fact were clearly erroneous); *Jackson v. Virginia*, 443 U.S. 307, 324-26 (1979) (determining whether a rational factfinder could have found proof of guilt beyond a reasonable doubt). Not to apply the law to the facts here would provide insufficient direction to the Circuits and give credence to the view that the "rules governing judicial review have no more substance at the core than a seedless grape." Gellhorn & Robinson, *Perspectives on Administrative Law*, 75 Colum. L. Rev. 771, 780 (1975).

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[16](...continued)
Judge Robertson did not rule that the $5,000,000 award was excessive when considered in a vacuum without regard to the facts. This may be why Tri County, which detects four such issues, accuses us of having waived an argument. Its approach, and its corollary argument that an appellee must structure its brief to mirror the appellant's brief, should be rejected. Otherwise an appellant may assign as error a ruling that the court below never made and then claim waiver when the other side defends only the rulings the court did make. Under such an approach, waiver could be impermissibly and "endlessly manufactured." Kalven, *The New York Times Case: A Note on "The Central Meaning of the First Amendment,"* 1964 Sup. Ct. Rev. 191, 194.

IV. There Is No Basis For Dismissing The Writ As Improvidently Granted.

We believe that this Court rejected Tri County's waiver argument when it granted review. Nevertheless, we summarize here the reasons why the District unquestionably and squarely proffered to the D.C. Circuit the usual deferential abuse of discretion standard of review and the D.C. Circuit just as unquestionably and squarely rejected it.

In its opening brief in the D.C. Circuit, Tri County repeatedly stated that the standard of review was abuse of discretion. See Pet. Reply 2-3. And while it mentioned close scrutiny of the record once, it did not identify this formulation as the standard of review, apparently in the belief that this formulation means nothing more than that federal appellate courts should carefully review cases (as, of course, they should). See *id.* at 3 & 3 n.1. In its responsive brief, the District urged that the abuse of discretion standard applied and that, under this standard, a district court "has wide discretion in setting aside a jury verdict where . . . the motion granted is for a new trial . . .." Pet. 11.

At argument, the D.C. Circuit made clear that it would not apply the abuse of discretion standard which both parties had proffered. The court vigorously rejected the District's position that it had to find an abuse of discretion before overturning the new trial order and announced that the Circuit's "very tough standard" for "taking the case from the jury" applied. Transcript of Argument 16 (Nov. 12, 1999); see Pet. 22 n.11 & Pet. Reply 3-4. In its decision, the court expressly applied its "more searching inquiry" standard of review. Pet. App. 5 & 10.

As an alternative basis for dismissing the writ, Tri County argues that the meaning of the standard used by the D.C.

Circuit in this and some of its prior decisions is susceptible of two meanings. One is that an appellate court reviews the record more fully or carefully than usual. (This reflects the understanding of Tri County's briefs below.) The other is that an appellate court expands its scope of review and thereby constricts the district court's customary discretion.

With all due respect, we do not believe that the Circuits are at odds over the manner of their review (how carefully they read the briefs and the record) rather than the substantive standard applicable to their review. And this certainly was not the dispute between the District and the D.C. Circuit in this case.

Instead, as the Circuits have made clear, they have long been divided over the standard of review. Those using a stricter scrutiny standard have done so to protect what they understand to be the Seventh Amendment right to a jury trial; those using a more generous standard have done so in recognition of the broad discretion historically granted trial judges to order new trials in cases tried to juries. See Pet. 24-25 (collecting cases following *Lind* and those rejecting *Lind*). And, the federal courts have no doubt just what the D.C. Circuit's position is.[17] Nor, given its opinion, did the D.C. Circuit in this case. Pet. App. 5

This conflict continues. Some Circuits, acknowledging *Gasperini*, hold that district courts have broad discretion to grant new trials and that appellate review of these orders is

[17]*See, e.g., Holmes v. Massillon, Ohio*, 78 F.3d 1041, 1047 (6th Cir.) (ruling, without citing *Gasperini*, but citing *Lind* and *Hutchinson v. Stuckey*, 952 F.2d 1418 (D.C. Cir. 1992), that appellate courts "must closely scrutinize the trial court's justifications in order to protect the litigant's right to a jury trial"), *cert. denied sub nom., Fabianich v. Holmes*, 519 U.S. 935 (1996).

correspondingly constrained. See D.C. Brief 41 (collecting cases from the Second, Seventh, Ninth and Eleventh Circuits). By contrast, other Circuits, without acknowledging *Gasperini*, continue to follow the *Lind* approach. See *id.* at 42; *accord* ATLA Brief 8-9.[18]

In any event, even if the precise dimensions of the conflict are uncertain, there can be no question that the federal appellate courts, not to mention the district courts, are at odds over their respective powers in cases in which new jury trials are sought. Accordingly, any ambiguity is a powerful reason for this Court to establish what the standard is and, by application of that standard in this case, to clarify its meaning and the scope of the Seventh Amendment. *See, e.g., Kamen v. Kemper Financial Services, Inc.*, 500 U.S. 90, 99 (1991) ("When an issue or claim is properly before the court, the court is not limited to the particular legal theories advanced by the parties, but rather retains the independent power to identify and apply the proper construction of governing law."); *Young v. United States*, 315 U.S. 257, 259 (1942) (The judiciary's obligation to decide cases in accordance with the law "cannot be left merely to the stipulation of parties.").[19]

[18]For reasons that we do not fathom, both Tri County (Brief 27) and ATLA (Brief 9) suggest that only the Seventh Circuit has interpreted *Gasperini* as invalidating stricter scrutiny of orders granting new trials. They do not even acknowledge the decisions from the other Circuits aligned with the Seventh.

[19]Tri County cites several cases in support of its argument that the Court should dismiss the writ as improvidently granted. Brief 15-16. However, even a cursory review of those cases reveals that they are wholly inapposite. Accordingly, this Court's ordinary rule should apply: "once a case has been briefed, argued, and studied in chambers, sound principles of judicial economy normally outweigh most reasons advanced for dismissing a case." *New York v. Uplinger*, 467 U.S. 246, 250-51 (1984) (Stevens, J., concurring).

In short, the District unquestionably preserved for review the argument that a deferential, not restrictive, abuse of discretion standard of appellate review applied to this case. And just as clearly, the D.C. Circuit, with whatever reasoning it deemed appropriate, rejected the District's position.[20]

V. TRI COUNTY'S OTHER WAIVER ARGUMENTS MUST BE REJECTED.

Tri County belatedly raises numerous insignificant waiver claims. It followed the same approach in the D.C. Circuit. In the court below, Tri County did not assign as error in its opening brief that Judge Robertson had violated Rule 59(d) by failing to give it "notice and an opportunity to be heard" before granting the District's "timely motion for a new trial for a reason not stated in the motion." Fed. R. Civ. P. 59(d). Instead, it simply urged that he had abused his discretion. In its Reply Brief, Tri County urged that the District had made arguments on appeal in support of the new trial order it had not made below. J.A. 7. Not until oral argument did Tri County suggest that Judge Robertson had acted on his own, rather than on the District's motion. Transcript of Oral Argument 3 & 5.

The D.C. Circuit, however, decided the case on the merits and thus evidently found Tri County's waiver claims either without merit or untimely, or both. This Court should do the same.

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[20]Tri County speculates that the District's purported waiver caused the D.C. Circuit to deny rehearing and rehearing *en banc*. However, a more reasonable and plausible explanation for its actions was that it understood that there was a square conflict among the Circuits on an issue of great importance that would, and must, be resolved by this Court.

First, appellate courts are free to consider any argument in support of a litigant's claims -- here, the District's defenses of the new trial order. Under *Yee v. City of Escondido*, 503 U.S. 519, 534 (1992), "[o]nce a federal claim is properly presented, a party can make any argument in support of that claim; parties are not limited to the precise arguments they made below." *See also Bankers Life & Casualty Co. v. Crenshaw*, 486 U.S. 71, 78 n.2 (1988). Second, the District's new trial motion and supporting 24-page memorandum urged that the district court should grant a new trial because the damages award was excessive given Tri County's speculative future profits evidence, its failure to mitigate damages, and the court's exclusion of evidence.[21] Third, Tri County's attempt to raise a new claim at oral argument violated Circuit rules. *See, e.g., United States v. Whern*, 111 F.3d 956, 958 (D.C. Cir. 1997), *cert. denied*, 522 U.S. 1119 (1998).[22]

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[21]We brought the motion and the memorandum to the court's attention by letter dated November 18, 1999. J.A. 7. When Tri County had the temerity to yell "foul" and request that this material not be given to the panel, we replied. J.A. 7.

[22]We mention only one other matter. Tri County seems to take the position that a defendant must object to relevant evidence as it is introduced in order to preserve its right to urge that a plaintiff has failed to carry its burden of proof on an issue. TCI Brief 34. This is plainly not the case. Here, moreover, at trial, the District was at a disadvantage because Judge Robertson had earlier indicated that lost profits would be out of the case as too speculative. See D.C. Brief 7, quoting J.A. 7. Nevertheless, the District renewed its objection to *the claim* for lost profits at trial and reminded the court of its earlier ruling. See D.E. 112 at 330-31 ("[I]n the Court's order dated July 25, 1997, the Court determined that the affidavit of plaintiff's environmental experts . . . is insufficient to establish lost profits with reasonable certainty. . . . The record stood yesterday as it stood on July 25, 1997 on that issue, and . . . plaintiff's claim for future [profits] should be dismissed.").

CONCLUSION

The Court should reverse the decision of the D.C. Circuit; affirm the district court's order awarding the District of Columbia a new trial; and remand the case to the D.C. Circuit for further proceedings consistent with its opinion in this case.

Respectfully submitted,

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